

Case Studies

Things do not change; we change.
—Henry David Thoreau

Congratulations! If you’ve gotten this far in the book, you should have developed your practical understanding of behavioral finance micro along the way. In this chapter, we’ll draw on all our discussions so far regarding specific behavioral biases and examine two fictional advisor-client case studies.

Obviously, every advisory relationship is unique, and there is no absolute, definitive way to diagnose and counteract client biases. As an advisor, you should read this chapter while keeping in mind how you might handle similar situations in your own practice. You should focus most on applying the methodological process—diagnosis, effects assessment, response determination, best practical allocation—outlined.

The following case studies involve two hypothetical investors, Mr. Nicholas and Mrs. Alexander, and their advisor, Mr. Gerard Spencer. Considering two dimensions, level of wealth and type of dominant biases, these case studies will consider two extreme examples: an investor with high wealth and emotional biases (Mr. Nicholas), and an investor with lower wealth and cognitive biases (Mrs. Alexander). To keep the book to a reasonable length, we will not review the two other extreme examples: an investor with high wealth and cognitive biases and an investor with lower wealth and emotional biases. Still, readers should understand that most cases will likely fall in between the two cases presented here in terms of behavioral adjustments to “rational” portfolio allocations.